

**ONTARIO
SUPERIOR COURT OF JUSTICE**

BETWEEN:	)	
	)	
LY INNOVATIVE GROUP INC. and	)	
MEIZHANG ZHOU	)	<i>Spencer F. Toole and Alexander Etkin for</i>
Plaintiffs	)	the Plaintiffs
- and -	)	
	)	
FACILITATE SETTLEMENT	)	<i>Stefan Juzkiw for the Defendants</i>
CORPORATION, KAI WU and JANE	)	
DOE	)	
Defendants	)	HEARD: In writing

PERELL, J.

REASONS FOR DECISION-COSTS

“Nothing spoils a good story than the arrival of an eyewitness:” Mark Twain

A. Introduction

- [1] This is a costs decision in which I shall be ordering the Defendants’ lawyer to personally pay the Plaintiffs’ costs of **\$45,842.95**.
- [2] In **November 2020**, the Defendant, Facilitate Settlement Corporation signed a lease of residential premises in Toronto. The Defendant Kai Wu is the alter ego of Facilitate Settlement Corporation. The Defendant Jane Doe is a chameleon, a changeable person, whose real name has never been disclosed and who has been variously identified as tenant, occupant, visitor, spouse, mother, expectant mother, and girlfriend. For three years, the Defendants did not reside in the premises; they illegally used it for business purposes. Save for three months of prepaid rent, the Defendants never paid the monthly rental of \$9,500.
- [3] In **January 2022**, the Plaintiffs, Ly Innovative Group Inc. and Meizhang Zhou (“the Landlords”), sued the Defendants to terminate the tenancy and for damages for the failure to pay rent. The Defendants did not defend. Facilitate Settlement Corporation and Mr. Wu were noted in default. The Landlords moved for a default judgment. The Defendants then brought a motion to have the noting in default set aside.

[4] The motions were adjourned on **November 14, 2023**¹ and then argued on **November 20, 2023**. I reserved judgment.

[5] On **December 7, 2023**, I released Reasons for Decision,² in which: (a) I validated service on Jane Doe and noted her in default; (b) I dismissed the Defendants' motion to set aside their noting in default; (c) I ordered the tenancy terminated; (d) I ordered that the Defendants, Facilitate Settlement Corporation and Mr. Wu, immediately vacate the premises and provide the Landlords with vacant possession; (e) I ordered the immediate issuance of a writ of possession; (f) I granted the Landlords a default judgment against Facilitate Settlement Corporation and Mr. Wu of: (i) \$304,054 jointly and severally; (ii) prejudgment and post judgment interest on \$304,054; (iii) \$100,000 in punitive damages plus post judgment interest; and (iv) costs to be determined; (g) I ordered Facilitate Settlement Corporation and Mr. Wu to pay prejudgment and post judgment interest in accordance with the *Courts of Justice Act*;³ and, (h) I dismissed the action against Jane Doe without costs.

[6] In my Reasons for Decision, I said that pursuant to rule 57.07 of the *Rules of Civil Procedure*,⁴ I would entertain a motion to have the costs paid personally by Stefan Juzkiw, the Defendants' lawyer of record.

[7] The Landlords seek costs on a substantial indemnity basis. They seek **\$45,842.95**, which amount is comprised of \$42,335.22 in fees (inclusive of HST) and \$3,507.73 in disbursements (inclusive of HST).

[8] Given the circumstances, it would have been prudent for Stefan Juzkiw, the lawyer of record for the Defendants, to have had independent counsel represent the Defendants. However, Mr. Juzkiw took instructions from Mr. Wu, and Mr. Juzkiw delivered responding costs submissions for the Defendants.

[9] Mr. Juzkiw also delivered responding costs submissions with respect to the Landlords' request that he personally pay the costs. Given the seriousness of ordering a lawyer to pay costs personally, it would have been prudent for Mr. Juzkiw to have retained counsel, but instead, he made submissions on his own behalf.

[10] On behalf of the Defendants, Mr. Juzkiw submitted that the Landlords' costs were excessive and exceeded what the Defendants could have reasonably expected to pay. He submitted that substantial indemnity costs were inappropriate. He said that the Defendants had a genuine dispute with the Landlords and that their refusing to pay rent was not reprehensible, scandalous, or outrageous conduct that would justify a punitive costs award.

[11] On the Defendants' behalf, incongruously, Mr. Juzkiw blamed the Landlords for joining Jane Doe to the action and for not taking steps to discover her identity, which conduct, he said, unnecessarily complicated or delayed the proceeding. Incongruously, he submitted that the Landlords contributed to the delay of resolving a simple case by noting the Defendants in default rather than seeking a summary judgment.

[12] On the Defendants' behalf, Mr. Juzkiw submitted that given the Defendants' impecuniosity, a costs award would be more punitive than compensatory. He said that the merits

¹ *Ly Innovative Group v. Facilitate Settlement Corp.*, 2023 ONSC 6412.

² *Ly Innovative Group Inc. v. Facilitate Settlement Corporation*, 2023 ONSC 6932.

³ R.S.O. 1990, c. C.43.

⁴ R.R.O. 1990, Reg. 194.

of the Defendants' defence should not be a factor in determining costs, but the conduct of the Landlords warranted scrutiny because they rejected a reasonable settlement offer to settle the costs.

[13] On behalf of himself, Mr. Juzkiw submitted that: (a) the Landlords' costs claim was highly excessive; (b) the circumstances did not justify an award of substantial indemnity costs against his clients; and (c) relying on *Rand Estate v. Lenton*,⁵ he submitted that his own conduct did not justify that he be ordered to pay costs personally.

[14] Mr. Juzkiw argued that he was not responsible for the misadventures of the landlord and tenant litigation because he was only retained in the middle of the ongoing proceedings and acted appropriately for his clients. He said that he did not interfere with the already underway process. He said he believed that the Defendants were the tenants who had been harassed by the Landlords, and he was just following the Defendants' instructions to defend the landlord and tenant litigation.

[15] However, Mr. Juzkiw's submissions for the Defendants, and for himself, are belied by the facts of the landlord and tenant litigation. For the reasons that follow, I grant the costs as requested by the Landlords. The costs shall be payable by the Defendants, Facilitate Settlement Corporation and Mr. Wu, within thirty days, failing which the costs shall be paid by Mr. Juzkiw within a further twenty days.

[16] In the reasons that follow, I incorporate by reference all my findings from my Reasons for Decision dated December 7, 2023.

[17] In the reasons that follow, I shall add findings arising from some revelations from the costs submissions, in which, colloquially speaking, Mr. Wu threw Mr. Juzkiw under the bus, and in which Mr. Juzkiw, colloquially speaking, threw himself and Mr. Wu under the bus.

[18] In the reasons that follow, I shall also add some findings from *Bank of Montreal v. Can United Consulting Corp.*,⁶ a decision of Justice Osborne dated August 18, 2023 in receivership proceedings in which Mr. Juzkiw was the lawyer for the debtor respondents, which included Facilitate Settlement Corporation.

[19] As it happens, the facts revealed by Justice Osborne's reported judgment in a receivership application, which facts formed no part of my Reasons for Decision in the landlord and tenant litigation, undermine Mr. Juzkiw's submissions on behalf of the Defendants and on his own behalf.

[20] As the intertwined narrative of the landlord and tenant application and the receivership application reveals, Mr. Wu suckered Mr. Juzkiw into gaming the administration of justice. Mr. Juzkiw was a dupe of Mr. Wu.

[21] Mr. Juzkiw was loyal to his client to the fault line where his client's instructions were an abuse of process and a gaming of the system. This is an appropriate case to order Mr. Juzkiw to pay costs personally.

B. The Cost Award as against Mr. Wu and Facilitate Settlement Corporation

[22] The above summary of the factual background is sufficient for the purposes of discussing the costs award as against Mr. Wu and Facilitate Settlement Corporation. I shall discuss the factual background in more detail below in the context of the Landlords' request that Mr. Juzkiw pay the

⁵ [2007] O.J. No. 831, aff'd 2009 ONCA 251.

⁶ 2023 ONSC 4773.

costs personally. In that context, I will add the facts that I have now come to learn from the receivership application, which is a matter of public record.

[23] In the immediate case, the Landlords were entirely successful. They regained their premises and achieved a judgment in excess of \$400,000.

[24] As set out in depressing detail in my Reasons for Decision, the Defendants gamed the system. They fabricated the story that they were tenants in a scheme to avoid paying rent as long as possible or to extort the Landlords to reduce the rent. In landlord and tenant litigation, this type of conduct has been found to be gaming the system and an abuse of process.⁷

[25] There is superabundant justification to award costs on a substantial indemnity basis against Mr. Wu and Facilitate Settlement Corporation. Notwithstanding Mr. Juzkiw's submissions to the contrary, Mr. Wu's conduct was reprehensible, scandalous, or outrageous. Mr. Wu never identified Jane Doe, but he falsely portrayed her as a harassed co-tenant and spouse whose health and pregnancy were endangered by the Landlord's unlawful intrusions onto the property. Then, Mr. Wu denied that he and his wife were tenants or ever intended to be tenants.

[26] In the landlord and tenant litigation, as will become clearer from the details provided below, Mr. Wu was disingenuous in denying that he had been served with originating process and he was devious in avoiding cross-examinations. While a litigant is not to be punished in costs for litigating what turns out to be an unmeritorious claim or defence,⁸ a litigant can be punished in costs for gaming the system with a claim or defence that is unmeritorious because it is bogus.

[27] The Defendants' submissions that the costs, on whatever scale, were unreasonable and excessive are without merit. The costs claimed are reasonable. They are not excessive. The Plaintiffs obviously had to join Jane Doe as a party, and it was Mr. Wu's responsibility to identify Jane Doe. It was the Defendants' conduct that was an abuse of process and a cause of delay.

[28] It was impudent and legally incorrect for Mr. Wu to suggest that because he couldn't afford to pay costs, he shouldn't be required to pay costs. Impecuniosity is not a license to abuse the administration of justice.⁹

[29] Having regard to the success achieved, a costs award of \$45,842.95 would have been reasonable and within the losing party's expectations on a partial indemnity basis. Thus, on a substantial indemnity basis, the award in the immediate case is well below the Defendants' reasonable expectations as the losing party.

[30] I, therefore, order the Defendants to pay the Landlords' costs of \$45,842.95 within thirty days.

⁷ *Oladunjoye v. Jonker*, 2021 ONSC 1199; *Wilkinson v. Sekiritsky*, 2020 ONSC 5048 (Div. Ct.); *Regan v Latimer*, 2016 ONSC 4132 (Div. Ct.); *Eldebron Holdings Ltd. v. Mason*, 2016 ONSC 2544 (Div. Ct.); *Florsham v. Mason*, 2015 ONSC 3147 (Div. Ct.).

⁸ *Krieser v. Garber*, 2020 ONCA 699.

⁹ *Dalton v. Woszczyzna*, 2023 ONSC 8273; *Apollo Real Estate v. Streambank Funding Inc.*, 2018 ONSC 392; *Rana v. Unifund Assurance Company*, 2016 ONSC 2502; *Baradaran v. Tarion Corp.*, 2014 ONSC 6870; *Mennes v. Burgess*, 2011 ONSC 5515; *Sutherland v. Manulife Financial*, 2011 ONSC 1170; *Burrell v. Peel (Regional Municipality) Police Services Board*, 2010 ONSC 1387 (Div. Ct.); *Christian Jew Foundation v. Christian Jew Outreach*, [2007] O.J. No. 2140; *Baksh v. Sun Media (Toronto)* (2003), 63 O.R. (3d) 51 (Master).

C. Costs against Mr. Juzkiw Personally

1. Introduction

[31] My Reasons for Decision dated December 7, 2023 describe the litigation from the perspective of the Landlords and the Defendants. For the present purposes of explaining why Mr. Juzkiw should be personally liable to pay costs in the event that Mr. Wu and Facilitate Settlement Corporation fail to do so, I shall retell the factual narrative from Mr. Juzkiw's perspective of taking instructions from Mr. Wu.

[32] In describing and analyzing the facts from Mr. Juzkiw's perspective, I shall add some facts from *Bank of Montreal v. Can United Consulting Corp.*,¹⁰ which was a receivership application involving Mr. Wu and Facilitate Settlement Corporation. I have learned that contemporaneously with the landlord and tenant litigation, Mr. Juzkiw was their counsel in a receivership application that was before Justice Osborne in Commercial Court.

[33] In the description of the facts that follows, I shall integrate into one narrative the story of the landlord and tenant litigation and the receivership application.

[34] There are revelations from the receivership application that provide clues to solving some mysteries and strange matters in the landlord and tenant litigation. For instance, there are two females named in the receivership application who might be the chameleon, Jane Doe. During the receivership application it was revealed that Mr. Wu lived at the same address as Yuqing Tan and Xuejiao Ma. It is possible that Ms. Tan or Ms. Ma may be the still unidentified Jane Doe.

2. Facts

[35] In **2020**, during the Covid-19 pandemic, the federal government offered several loan programs, including "HASCAP" ("Highly Affected Sectors Credit Availability Program").

[36] Facilitate Settlement Corporation and several other corporations of which Mr. Wu was the owner or operator applied to the Bank of Montreal (BMO) and were granted a \$2.1 million HASCAP loan. HASCAP loans are made by Canadian banks, but the principal is guaranteed through the Business Development Bank of Canada (BDC).

[37] Facilitate Settlement Corporation and the other debtors used the loan funds for Mr. Wu's personal purposes. Mr. Wu received \$344,000. A corporation owned by Ms. Tan received \$200,000. Ms. Ma received \$10,000.

[38] In the fall of 2020, the Landlords listed 29 Citation Drive, a residential property, for lease. Connie Truong was the Landlords' real estate agent.

[39] On **November 17, 2020**, the Landlords agreed to lease 29 Citation Drive to Facilitate Settlement Corporation for a monthly rental of \$9,500. Facilitate Settlement Corporation paid \$28,000 as three-months' prepaid rent. Facilitate Settlement Corporation used funds from the HASCAP loan to pay the deposit for the renting of 29 Citation Drive.

[40] On **December 1, 2020**, Facilitate Settlement Corporation went into possession of the property to ready it for the commencement of the lease on February 1, 2021.

¹⁰ 2023 ONSC 4773.

[41] In late **January 2021**, Mr. Wu, who is the *alter ego* of Facilitate Settlement Corporation retained Mr. Juzkiw. It is not clear whether or not this was a first retainer. It is possible that Mr. Wu had already employed Mr. Juzkiw before this time.

[42] Mr. Wu advised Mr. Juzkiw that in December 2020 and again on **January 25, 2021**, the Landlords had illegally entered 29 Citation Drive and disturbed his quiet enjoyment and that of his spouse who was pregnant with their second child. In taking these instructions, Mr. Juzkiw did not meet with the spouse, and did not even ask Mr. Wu what was the name of his spouse.

[43] On **January 26, 2021**, Mr. Juzkiw wrote a “govern-yourself-accordingly” letter to Ms. Truong on behalf of the tenants; i.e. on behalf of Facilitate Settlement Corporation, Mr. Wu, and Mr. Wu’s wife (“Jane Doe”). In the letter, Mr. Juzkiw complained about the Landlords’ illegal entries. He advised Ms. Truong that the tenants reserved their right to complain to the Real Estate Council of Ontario (RECO) about her conduct. The letter stated:

The tenant is very stressed due to this harassment from the landlord and the landlord’s agent. Be advised that you are not welcome to come to the house on January 28, 2021, and if you or your agent attend, the police will be called and will be responsible for serious legal consequences of your actions. Because of illegal entry where the pregnant female tenants and infant have been frightened and during the covid-19 restrictions, no longer will the tenants be willing to allow the landlord (or his agents) to gain entry into the home and/or the garage at this time. Govern yourself accordingly.

[44] Mr. Juzkiw had been deceived by Mr. Wu. The letter to Ms. Truong ought not to have been written. Mr. Wu and the pregnant woman and infant were not tenants. Mr. Juzkiw either knew that Mr. Wu and his family were not tenants, or he ought to have known that. In the subsequent landlord and tenant litigation, Mr. Wu deposed that he and his family were not tenants of 29 Citation Drive. Mr. Wu deposed that he and his family never had an intention to be tenants. In the subsequent landlord and tenant litigation, Mr. Wu deposed that he had explained to Mr. Juzkiw that Facilitate Settlement Corporation was the sole tenant and that he and his wife [Jane Doe] would only be visiting from time to time.

[45] The truth of the matter was that Facilitate Settlement Corporation was the only tenant, as might be gathered from the fact that it was the only signatory to the standard form lease. Contrary to the permitted uses under the lease, Facilitate Settlement Corporation was using the premises for a rental to its clients.

[46] Facilitate Settlement Corporation was in the business of facilitating the settlement of immigrants in Canada, and it was using 29 Citation Drive as temporary accommodation for the immigrants and for Facilitate Settlement Corporation’s visiting foreign employees. Without confirming their veracity, Mr. Juzkiw accepted Mr. Wu’s instructions that the tenants of 29 Citation Drive were Mr. Wu, his unnamed pregnant spouse, and an infant and that these tenants were being harassed by the Landlords.

[47] The govern-yourself-accordingly letter to the real estate agent did not resolve matters, and in the weeks that followed, Mr. Juzkiw received instructions to write the Landlords’ lawyer, Aziza Hirsi of Phoenix Law LLP.

[48] On **February 22, 2021**, Mr. Juzkiw wrote Ms. Hirsi. In his letter, Mr. Juzkiw accused the Landlords of having illegally taken rental deposits. He accused the Landlords of making three illegal entries of the premises and of inhumanely harassing the pregnant tenant. The letter stated:

[...] During each time, the landlord had threatened and/or harassed the tenants. After two attempts they threatened to evict the pregnant women during winter when it’s cold outside. The tenant will

continue to prevent illegal entry by calling the Toronto Police to prevent unwanted hostility, harassment, and interference with enjoyment of the unit. The landlord has gone so far as to give 10 days' notice for the family to move out because refused two illegal entries. The pregnant women forced in the cold winter is inhuman treatment and harassment. [...] Be advised that the tenant has reported to the police twice to inform the police that the landlords (or their agents) are not welcome to enter the home, even if given notice with fake excuses [...] Your clients may face being arrested with criminal charges. The illegal entry and harassing behaviours of your client may be dealt with through the Landlord Tenant Board and/or Superior Court of Justice as a lawsuit later. The tenants have the right to lawsuit for damages for illegal entry, emotional distress, personal injury to the female pregnant women and their one year old baby, and others. Please advise your client to refrain from illegal entry, as he may face consequences as a result. Govern yourself accordingly.

[49] In this letter, Mr. Juzkiw is undoubtedly acting for all of the Defendants, including the pregnant women whom he did not know but for whom he was threatening a lawsuit for personal injuries to the "female pregnant women and their one year old baby and others."

[50] Once again, the govern-yourself-accordingly letter failed to resolve what eventually became the landlord and tenant litigation.

[51] On **March 26, 2021**, the Landlords served a notice to enter the premises. Immediately, Mr. Juzkiw responded with an email message and letter. In his correspondence, he stated that entry would be refused because the Landlords were harassing the tenants. Thus, Mr. Juzkiw sent Aziza Hirsi the following email message, which attached the following govern-yourself-accordingly letter:

Further to your correspondence March 26, 2021, be advised that the tenants' refuse the landlord (or agent of landlord) entry based upon a fake excuse of inspection. The tenant's history with the landlord has been that he uses excuses to gain access to the property in order to interfere, harass, and intimidate the tenants. Please note the female pregnant woman is due to deliver the baby soon. The tenants do not want to be harassed or bothered with illegal entry without consent. The tenants will continue to call the police and the landlord (or his agent) may face criminal and civil liabilities and your client will build a history of illegal entry by ignoring the police warning messages. If the unborn is affected by this matter, they will claim additional damages and distress in the Superior Court action. [...]

[52] The attached letter stated:

Further to your correspondence dated March 26, 2021, be advised that the tenants refuse to allow entry by the landlord for inspection. [...] this is just fake excuse like before to interfere, intimidate, and harass the tenants. Once again, this is substantial interference with the tenants reasonable enjoyment, security and/or harassment. Be advised that the tenants will continue to prevent illegal entry by calling the Toronto Police to prevent unwanted hostility, harassment, and interference with enjoyment and security of the unit. [...] The tenants do not wish for the landlord to enter the house without their permission, especially during the COVID-19 pandemic to protect the pregnant woman, her unborn child, and one-year old child from the virus. [...] If your client tries to enter the house, be advised that the tenants will continue to report the issues to the Toronto Police for the third time. Your clients may face being arrested with criminal charges due to ignoring police warning messages. The almost due to deliver pregnant women and her one year old baby were scared and distressed by the past harassment, which required them to seek medical care. [...] if the unborn infant is affected the landlord will face serious liability. Certainly, the tenants will 100% go to Superior Court to recover damages from the illegal entries and harassing behaviours of the landlord. The tenants have the rights to a lawsuit for damages for illegal entry, emotional distress, personal injury to the female pregnant woman, unborn infant, and their one year old baby and others. Please advise your client to refrain from illegal entry, as he may face serious consequences as a result. Govern Yourself Accordingly.

[53] Once again, the Landlords were not dissuaded by Mr. Juzkiw's correspondence. On **April 29, 2021**, the Landlords (Ly Innovative Group and Mr. Zhou) brought an application to the Landlord and Tenant Board seeking an order for termination of the Tenant's tenancy, payment of rental arrears, and eviction.

[54] Mr. Juzkiw attempted to settle the dispute. As revealed in Mr. Juzkiw's responding costs submissions, on **October 7, 2021**, **October 27, 2021**, and **December 3, 2021**, he sent without prejudice correspondence to Ms. Hirsi. In this correspondence, the Defendants offered to release their claims in exchange against the Landlords for two months free rent. The Landlords rejected the offer.

[55] Mr. Juzkiw indicated that with the failure of his settlement initiatives, this ended his retainer around the middle of January 2022. (To foreshadow, the retainer was officially to resume a year later.)

[56] Approximately a year passed with the Defendants using the premises and not paying rent. The proceedings before the Landlord and Tenant Board were going nowhere because of a backlog and the problems caused by the Covid-19 pandemic.

[57] In **early 2022**, the Landlords changed lawyers from Ms. Hirsi to Horlick Levitt Di Lella LLP, and on **January 27, 2022**, the Landlords commenced an action against Facilitate Settlement Corporation, Mr. Wu, and Jane Doe.

[58] On **January 27, 2022** and again on **February 18, 2022**, the Landlords' lawyers provided Mr. Juzkiw with a copy of the Statement of Claim and asked whether he would accept service of the Statement of Claim on behalf of the Defendants. Mr. Juzkiw declined to accept service. He said that he was no longer retained by the Defendants.

[59] I infer that Mr. Wu - with the intent to evade service and to continue to frustrate the Landlords - instructed Mr. Juzkiw not to accept service. In this regard, it should be recalled that for the whole of the preceding year, Mr. Juzkiw had been retained first to write threatening letters and then to attempt to settle the landlord and tenant dispute.

[60] In any event, Mr. Wu's evasive tactics failed. As I explained in my Reasons for Decision dated December 7, 2023, by **March 4, 2022**, Mr. Wu and Jane Doe were served with the Statement of Claim.

[61] Mr. Wu and Jane Doe did not file or serve a Statement of Defence within the timelines prescribed by the *Rules of Civil Procedure*. Mr. Wu was noted in default on **June 27, 2022**. By oversight, Jane Doe was not noted in default. However, I subsequently deemed her to have been noted in default as of June 27, 2022, the same day that Mr. Wu was served.

[62] Although through Mr. Wu, it would have known about the landlord and tenant litigation by March 4, 2022, Facilitate Settlement Corporation was formally served with the Statement of Claim as of **July 13, 2022**.

[63] Facilitate Settlement Corporation did not file or serve a Statement of Defence within the timelines prescribed by the *Rules of Civil Procedure*, and it was noted in default on **August 17, 2022**.

[64] In early September 2022, the Landlords brought a motion for a default judgment, and by endorsement dated **September 15, 2022**, Justice Myers ordered the Landlords to serve their motion for a default judgment on the Defendants by September 23, 2022, after which the

Defendants had until October 14, 2022 to advise the Landlords if they intended to respond.

[65] On **September 21, 2022**, the Defendants retained SM Legal Professional Corporation as their lawyer. One might have thought that Mr. Juzkiw would have been retained but Mr. Wu retained a law firm with no familiarity with the background to the landlord and tenant dispute.

[66] On **September 22, 2022**, the Landlords brought on their motion for a default judgment.

[67] On **October 13, 2022**, the Defendants' counsel Samuel Michaels of SM Legal Professional Corporation advised the Landlords' Counsel that the Defendants would be defending the action and the Defendants brought a motion to have the noting in default set aside.

[68] On **November 18, 2022**, there was a case management scheduling conference, and Justice Akbarali set a timetable in which materials were to be filed. She directed that cross-examinations were to be completed by March 17, 2023 and that the motions were to be heard together on November 14, 2023.

[69] Thus, in the fall of 2022, Mr. Wu had chosen to instruct Mr. Michaels about the landlord and tenant litigation instead of the fully briefed Mr. Juzkiw. As it happens, however, it was around this time, that the receivership application got underway, and Mr. Wu had a new brief for Mr. Juzkiw.

[70] On **November 30, 2022**, the HASCAP loan went into default and in **February 2023**, the BDC commenced a receivership application in the name of BMO (to which BDC was subrogated) to enforce repayment of the loan. Mr. Juzkiw was the lawyer for the debtors and for Mr. Wu in the receivership application.

[71] On **February 24, 2023**, in the receivership application, Mr. Juzkiw appeared for the debtors and for Mr. Wu. On an urgent basis, BDC was asking for the appointment of a receiver. Mr. Juzkiw asked for an adjournment so that his clients could file materials. Justice Osborne granted an adjournment to March 2, 2023.

[72] On **March 2, 2023**, Justice Osborne appointed KSV Restructuring Inc. as Receiver and froze Mr. Wu's bank accounts at BMO. This was a temporary order, and the receivership application was made returnable on March 6, 2023.

[73] On **March 6, 2023**, Mr. Wu slipped and fell on the ice. He hit his head. He suffered a serious concussion. He was hospitalized and released the same day. While Mr. Wu was in the hospital, the receivership application was proceeding.

[74] On March 6, 2023, the receivership application was before Justice Osborne. In that application, Mr. Wu had filed an affidavit opposing the appointment of the Receiver. Justice Osborne adjourned the application and extended the receivership until March 31, 2023 for argument.

[75] Still on March 6, 2023, after Justice Osborne released his endorsement, the Receiver returned to court on an urgent basis complaining that Mr. Wu and the debtors had not been forthcoming in providing disclosure as was required by the standard temporary receivership order. To deal with this matter, Justice Osborne scheduled a case conference for March 7, 2023, notwithstanding Mr. Juzkiw's objection that the actions of the Receiver were adversely affecting Mr. Wu's health. To be clear, Mr. Juzkiw was not referring to the slip and fall about which he would not have been aware.

[76] On **March 7, 2023**, there was a case management conference. Justice Osborne clarified with counsel the distinction between the general obligation to cooperate with the Receiver and to provide records, and the more formal requirement to attend for an examination under oath if necessary. Mr. Juzkiw confirmed that understanding and said that Mr. Wu would fully cooperate. Justice Osborne ordered the parties to attend for a monitoring case management conference, which was scheduled for March 13, 2023. There was no mention of the slip and fall.

[77] Meanwhile in the landlord and tenant litigation, on **March 9, 2023**, the Landlords' lawyers corresponded with Samuel Michaels, the principal of SM Legal Professional Corporation, and requested dates for the cross-examinations. A series of fruitless exchanges was to follow. The Landlords were not informed of Mr. Wu's slip and fall by Mr. Michaels, who at this juncture, like Mr. Juzkiw, may not have been aware of Mr. Wu's accident.

[78] On **March 13, 2023**, in the receivership application, the parties attended for the scheduled case management conference. The Receiver continued to complain about Mr. Wu's failure to cooperate. Mr. Juzkiw had provided some material from the debtors, but Mr. Wu had refused to meet with the Receiver.

[79] On March 13, 2023, Mr. Juzkiw explained that Mr. Wu had suffered a concussion from the slip and fall and that the attending physician at Sunnybrook Hospital had recommended that he not undergo the stress of an examination under oath. In these circumstances, the Receiver's lawyer indicated that the Receiver would proceed on an informal basis without prejudice to its right to have a formal examination of Mr. Wu.

[80] Justice Osborne adjourned the matter to March 31, 2023 and indicated that if Mr. Wu's medical condition was to be a factor, Mr. Wu should file medical evidence in proper form from the treating physician. No medical evidence was ever filed.

[81] On **March 31, 2023**, the receivership application returned before Justice Osborne for another case management conference. Mr. Juzkiw said again that financial information would be provided to the Receiver within two weeks and that he was attempting to obtain records left at the business premises formerly leased by Mr. Wu's corporations.

[82] At this case management conference, it was revealed that Mr. Juzkiw had himself been an employee of some of the debtors. Mr. Juzkiw could not, however, remember when his employment commenced or when it ended.

[83] Justice Osborne expressed his disappointment with the complete lack of cooperation from the Respondents and from Mr. Wu. Mr. Juzkiw assured Justice Osborne of their cooperation, and he undertook that the information and materials would be produced immediately. Justice Osborne scheduled another case management conference for May 1, 2023.

[84] In the receivership application, notwithstanding Mr. Juzkiw's assurances, the information was not provided. It was never provided. Without ever filing medical information, Mr. Wu through Mr. Juzkiw advised the court that because of his concussion, he was unable to be examined under oath. In the receivership proceeding, Mr. Wu delivered no additional affidavits.

[85] Meanwhile, in the landlord and tenant litigation, on **April 12, 2023**, the Landlords served the Defendants' lawyers, i.e. SM Legal Professional Corporation with a Notice of Examination of Mr. Wu returnable on June 14, 2023. The Landlords' lawyers still had not been advised about the slip and fall.

[86] On **April 26, 2023**, Mr. Wu and the Defendants changed lawyers from SM Legal Professional Corporation. Mr. Wu appointed Mr. Juzkiw as their lawyer of record. Mr. Juzkiw was now officially the lawyer in both the receivership application and the landlord and tenant application.

[87] Also on April 26, 2023, the Receiver delivered its Third Report. It had delivered earlier reports on March 12, 2023 and March 28, 2023.

[88] On **June 13, 2023**, the Landlords' lawyers sent Mr. Juzkiw an email requesting confirmation of Mr. Wu's cross-examination, which it may be recalled had been unilaterally scheduled for the following day. Mr. Juzkiw said that this was the first notice he had about Mr. Wu's scheduled cross-examination.

[89] In the landlord and tenant application, the evidence – from Mr. Wu's surrogate and friend Mehdi Raza – was that on June 13, 2023, Mr. Wu contacted Mr. Juzkiw and informed him for the first time about his slip and fall medical condition and inability to attend the cross-examination. This evidence, I now understand to be mistaken. Mr. Juzkiw may have learned that Mr. Wu's cognitive difficulties were continuing, but Mr. Juzkiw had known for three months about the slip and fall. In any event, Mr. Juzkiw did not pass on the information to the Landlords' lawyers and they attended and took out a certificate of non-attendance.

[90] On **June 14, 2023**, Mr. Juzkiw advised the Landlords' lawyer that he was unaware of the appointment for Mr. Wu's cross-examination and that Mr. Wu would not be attending. Mr. Juzkiw did not advise that Mr. Wu was unable to attend because he was recovering from a concussion having slipped and fallen in March 2023.

[91] On **June 14, 2023** and **June 21, 2023**, Mr. Juzkiw wrote SM Legal Professional Corporation asking for the file material in the landlord and tenant litigation. In his costs submissions, Mr. Juzkiw used his lack of having file materials as an explanation for the delay in scheduling cross-examinations. This is a flimsy excuse given that Mr. Juzkiw had the Statement of Claim and had been involved with his clients' harassment complaints from the outset. He might also have simply asked his opponent to provide copies of the materials that had been filed in the landlord and tenant litigation.

[92] In the landlord and tenant litigation, on **July 21, 2023**, the Landlords' lawyers again asked Mr. Juzkiw to make Mr. Wu available for cross-examination in August 2023. There was no immediate response, perhaps because Mr. Juzkiw was preoccupied with the receivership application.

[93] In the receivership application, there were similar problems in securing Mr. Wu's cooperation. And it was around this time that the BDC threw in the towel so to speak. BDC believed that the debtors had no assets. BDC was no longer prepared to underwrite the receivership. So, on **July 24, 2024**, the Receiver delivered its fourth report, and the Receiver applied to the court for approval of its reports and to be discharged as Receiver.

[94] The Receiver's motion to be discharged came on before Justice Osborne on **August 8, 2023**. Mr. Juzkiw appeared for the respondents and for Mr. Wu. The predominant issue before Justice Osborne was that the BDC wished the costs of the receivership application to be paid by Mr. Wu, who was not a party to the receivership application.

[95] In a manoeuvre that Mr. Wu was to repeat later in the landlord and tenant litigation, in the receivership application, he did not deliver an affidavit to respond to BMO's request for \$50,000

in costs. Rather, he persisted in his alleged medical incapacity, and he delivered a surrogate's affidavit from Mehdi Raza, who was presented as a former employee and now a consultant for Mr. Wu and his companies.

[96] Mr. Raza's affidavit, however, contained no information about who Mr. Raza was or how he came to have any direct knowledge or information and belief of the facts to which he deposed. Mr. Juzkiw was unable to advise Justice Osborne when Mr. Raza had been employed and when his employment had stopped. (I was later to experience similar ignorance in the landlord and tenant litigation.)

[97] In the receivership application, Justice Osborne heard argument, and he reserved judgment. On **August 18, 2023**, Justice Osborne released his Reasons for Decision. He decided that the court had the jurisdiction to award costs against a non-party whose conduct amounted to an abuse of process. Justice Osborne carefully reviewed the history of the receivership application. He concluded that Mr. Wu's conduct was an abuse of process that undermined the fair administration of justice. At paragraphs 84 to 88 of his decision, Justice Osborne stated:

84. Having considered the totality of the record, I am satisfied that in the particular circumstances of this case, the conduct of Mr. Wu amounts to an abuse of process. This is not a case, contrary to the submissions of his counsel, where Mr. Wu has done nothing other than hold positions as an officer and director of the corporate Respondents at an unfortunate or unlucky period in time.

85. For the reasons set out above, I am satisfied that his conduct goes well beyond that. He has simply refused and failed to comply with the terms of the original receivership order and the subsequent directions of the court. He has done so notwithstanding that those terms were clearly explained to his counsel who confirmed their understanding of what was required of Mr. Wu and of the corporate Respondents of which he was the directing mind.

86. This all occurred when counsel confirmed that they were taking instructions from him. He instructed counsel to seek the first adjournment on his undertaking to fully cooperate because he simply needed more time to gather the books and records. They were not produced. A further adjournment was sought, and also granted, on the basis of his injury. No medical records were produced. Subsequently, he was said to be fit to instruct counsel and cooperate, but not to go through a stressful examination under oath, yet he failed to do even the former or cause and compel the Respondents (which he controlled) to do so.

87. The position of Mr. Wu, as submitted by counsel, boils down to the argument that he was not a personal guarantor on the corporate loans, with the result that he has no personal liability. To be clear, my conclusion that he is liable for the limited costs award granted flows from his failure to cooperate with the orders and directions of this Court which in my view amount to an abuse of process.

88. For all of the above reasons, I award costs to the Applicant payable by Mr. Wu personally. I have set out above my reasons for concluding that the quantum sought is more than reasonable in the circumstances.

[98] Returning to the landlord and tenant litigation, it should be recalled that since June, the Landlords had been attempting to arrange a cross-examination of Mr. Wu. When there was no response from Mr. Juzkiw, on **September 13, 2023**, the Landlords' lawyers asked Mr. Juzkiw to make Mr. Wu available before September 15, 2023. Mr. Juzkiw responded and advised - for the first time - that Mr. Wu had suffered a brain injury and was not available to be cross-examined for medical reasons.

[99] On **September 14, 2023** and again on **September 29, 2023**, the Landlords' lawyers

requested medical records to substantiate Mr. Wu's medical condition. Incomplete records were provided.

[100] On **October 22, 2023**, Mr. Juzkiw responded that Mr. Wu had suffered a concussion on March 6, 2023. He advised that the Defendants would be requesting an adjournment. His email message was:

Enclosed please find the medical records confirming that Mr Wu is not able to be cross-examined at this time due to a suffered brain injury. His family doctor note indicates that since March 6, 2023 Mr Wu cannot perform any work duties and deal with any stress until after November 30, 2023 due to concussion symptoms. He has been in treatment and unable to deal with any work duties due to his severe brain injuries majority of the time this year. We are requesting an adjournment of the motion to a date after November 30, 2023 to do the cross-examination. Let me know your availability in December 2023, January 2024, and February 2024. Be advised that we will reply upon this email and attachments at the motion. [...]

[101] On **October 24, 2023**, the Landlords' lawyers advised Mr. Juzkiw that the Landlords would not agree to an adjournment unless Mr. Juzkiw's clients paid the full rent arrears and agreed to an order that they pay the ongoing rent, failing which the Landlords would seek leave to issue a writ of possession for the premises.

[102] On **October 28, 2023**, Mr. Juzkiw advised that if the Plaintiffs did not agree to an adjournment, the Defendants proposed to replace Mr. Wu with an affidavit from Mehdi Raza dated October 27, 2023, which is eventually what occurred.

[103] On **November 3, 2023**, Mr. Raza was cross-examined by the Landlords. The Landlords were under the misapprehension that the Defendants would abandon their request for an adjournment, which is not what eventually occurred.

[104] Meanwhile in anticipation of the motions, I was reviewing the court files and on **November 9, 2023**, I made the following File Direction:

1. I have been assigned to hear the Plaintiffs' motion for a default judgment and the Defendants' motion to set aside the noting in default scheduled for November 14, 2023.
2. I have reviewed the materials posted to ontariocourts.caselines.com. There does not appear to have been compliance with the Endorsement of Justice Akbarali dated November 18, 2022.
3. None of the Defendants' motion materials for the motion to set aside the noting in default have been filed. Only one factum has been posted. (Plaintiffs' Factum for a default judgment dated September 22, 2022.) No factums have been posted in the Defendants' motion to set aside the noting in default. There are no Authorities Casebooks. There is no draft order, etc.
4. I direct the parties: (a) to comply forthwith with the filing requirements of Justice Akbarali's Endorsement; and (b) to provide electronic copies of their respective motion materials to my judicial assistant [...]
5. The parties shall also file their motion materials in accordance with the *Rules of Civil Procedure*.

[105] On **November 9, 2023**, the Plaintiffs delivered their supplementary factum.

[106] On **November 14, 2023**, I issued the following File Direction:

1. I have been assigned to hear the Plaintiffs' motion for a default judgment and the Defendants' motion to set aside the noting in default scheduled for November 14, 2023.

2. Further to my file direction of November 9, 2023, I have reviewed the materials posted to ontariocourts.caselines.com, and it now appears there has been compliance with the Endorsement of Justice Akbarali dated November 18, 2022. Several matters remain outstanding.

3. First, I direct the Defendants to file the answer to the undertaking given on Mr. Raza's cross-examination and to advise with respect to the question taken under advisement.

4. Second, I direct the Defendants' lawyer of record to verify the identity of the client named as "Jane Doe" in the style of cause by producing a photocopy of a government-issued photo identification setting out her full name, business address, home address and occupation.

5. Third, I direct the Defendants' lawyer of record to verify the identity of the client named as "Kai Wu" in the style of cause by producing a photocopy of a government-issued photo identification setting out his full name, business address, home address, and occupation.

6. Fourth, I direct the Plaintiffs' lawyer of record to verify the identity of the client named as "Meizhang Zhou" in the style of cause by producing a photocopy of a government-issued photo identification setting out his full name, business address, home address, and occupation.

[107] The motions were to be argued on November 14, 2023, but the motions were adjourned because of new developments and the prospect of a settlement in which the Defendants would vacate the premises, the litigation would be dismissed, and the Defendants would pay some undisclosed sum to the Landlords.

[108] I now understand, once again from the costs submissions, that the undisclosed sum was \$80,000, all inclusive, but I did not know that at the time.

[109] On November 14, 2023, I decided to postpone hearing the matter. I decided to adjourn the motion for a few days to see if it was true that the Defendants would vacate the premises. On **November 14, 2023**, I made the following Endorsement:

1. This is a landlord and tenant dispute. It arises because save for three months of prepaid rent, for three years, the monthly rent of \$9,500 has not been paid while the tenant has remained in possession. The rent arrears now approach \$300,000.

2. The Defendant Facilitate Settlement Corporation is the tenant of leased residential premises in Toronto. There is a dispute about whether the Defendants Kai Wu and Jane Doe are also tenants.

3. In January 2022, the Plaintiffs, Ly Innovative Group Inc. and Meizhang Zhou sued for possession and for payment of the arrears of rent. They noted Facilitate Settlement Corporation and Mr. Wu in default, and the Plaintiffs moved for a default judgment.

4. The Plaintiffs, however, omitted to note in default Jane Doe, which is not the correct name of Ms. Wu's wife.

5. The Defendants including Jane Doe resisted the motion for a default judgment, and they moved for an Order setting aside the noting of default.

6. On November 18, 2022, when there was a case management scheduling conference. Justice Akbarali set a timetable scheduling the motions to be heard today.

7. I was advised this morning that the parties had reached a settlement. I was asked to grant the following Order: [...]

8. I am not prepared to issue this Order. The preamble mistakenly indicates that Jane Doe has been noted in default, which is not the case. Further, as noted above, Jane Doe has not been properly identified.

9. I have not been provided with sufficient details of the settlement to exercise my discretion with respect to issuing a writ of possession. The Order does not address the outstanding counterclaim of at least Jane Doe. The Order does not finally resolve the matter.

10. In these circumstances, at the hearing of the motions, I gave the parties a choice of either: (a) arguing the motion on its merits; or (b) adjourning the motion until Monday next at which time it could be determined whether the Plaintiffs actually needed a writ of possession.

11. The parties elected to adjourn the motion. In the meantime, I repeated my direction to the Defendants to properly identify Jane Doe.

12. I remain seized of this matter. It is adjourned to Monday, November 20, 2023. It shall be a virtual hearing. On Monday, the parties shall report and be prepared to argue the motion on its merits if the matter has not properly resolved itself in the interim.

13. Adjournment accordingly.

[110] At the commencement of the hearing on **November 20, 2023**, I asked about Jane Doe's identify. Mr. Juzkiw told me that he was not the lawyer for Jane Doe. He said that he had been retained only by Mr. Wu. He said that all he had been told by Mr. Wu was that Jane Doe's first name was "Bianca" and that she was Mr. Wu's girlfriend, not his spouse. Mr. Juzkiw understood that Bianca had a Chinese last name, but he did not know whether Bianca was an ex-girlfriend or a current girlfriend and whether she was the mother of Mr. Wu's children.

[111] I pointed out to Mr. Juzkiw that he was on the record as being the lawyer for Jane Doe and therefore he must assuredly know that she is his client and that he was professionally obliged under the Law Society of Ontario's *Rules of Professional Conduct* to authenticate the client's identity. He replied that he only became lawyer of record pursuant to a notice of change of lawyer. I pointed out to Mr. Juzkiw that he had written several govern-yourself-accordingly letters on behalf of Bianca [Chinese Last Name]. Mr. Juzkiw had no response.

[112] In his costs submission, Mr. Juzkiw stated that I was mistaken in concluding that Jane Doe was his client from the govern-yourself-accordingly correspondence to Ms. Truong and to Ms. Hirsi. In his costs submissions, Mr. Juzkiw stated:

14. [...] Mr. Juzkiw provided the Court with whatever fair information he had in his possession about the apparent first name of Jane Doe. [...]

15. The Court however erroneously believed that Jane Doe was Mr. Juzkiw's client from the initial correspondences directed by Mr. Juzkiw on behalf of the Defendants.

16. It was an erroneous observation as the said corresponding letters never mentioned about Jane Doe. Mr. Juzkiw sent the correspondence only on behalf of the Defendants as but only 'tenants' and were directed wholly following the instructions of Defendant #2, Kai Wu.

[113] This is a respectful submission from Mr. Juzkiw, but it is woefully wrong. Mr. Juzkiw was the lawyer for Jane Doe, the true name of which remains a mystery to this day, although it is possible that Jane Doe is Yuqing Tan or Xuejiao Ma, who lived at the same address as Mr. Wu. Mr. Juzkiw would have known at least that much from his knowledge in the receivership proceedings.

[114] Returning to the narrative of the landlord and tenant litigation, at the commencement of the hearing on November 20, 2023, I was told that the Defendants had not provided the Landlords with possession of the premises. The Landlords said they wished to proceed with the motions.

They said that the gamesmanship needed to stop.

[115] I was told by Mr. Juzkiw that the court could not proceed with the motions because the matter had been settled and that the Defendants had only delayed releasing the premises because they wished to ensure that the motions would not go forward. I rejected this submission. I concluded that the Defendants were simply continuing their efforts to game the administration of justice. If the Defendants genuinely did not want the motions to go forward, all they had to do was name Jane Doe and honour the terms of the settlement by vacating the premises before the hearing started.

[116] Then, notwithstanding that the Landlords had acquiesced to cross-examining Mr. Raza instead of Mr. Wu, Mr. Juzkiw asked for an adjournment based on Mr. Wu's alleged brain injury. I was told that fairness and due process necessitated a month or so adjournment.

[117] I declined the adjournment request. There was no proper evidence that Mr. Wu has been incapacitated beyond perhaps a month or so after his slip and fall. The medical evidence is incomplete, inadequate, and all I had was a law clerk's hearsay evidence of Mr. Wu's incapacity to testify.

[118] I heard the motions on their merits and on **December 7, 2023**, I released my Reasons for Decision as described above. I directed the parties to settle costs or to make costs submissions.

[119] There were negotiations between the parties to settle the costs. An offer to settle costs for \$40,500 was sent to the Landlords on **January 12, 2024**. Of this sum, \$500 was to be paid by Mr. Juzkiw personally. The offer was refused. I received costs submissions as described above.

[120] I understand that the Defendants have appealed my decision with new lawyers. I do not know whether they have vacated 29 Citation Drive.

[121] Unable to settle the outstanding matter of costs, the parties made their respective costs submissions. As already mentioned, Mr. Juzkiw made submissions on behalf of the Defendants and on his own behalf.

3. Analysis and Discussion

[122] I regret to say that Mr. Juzkiw's submissions that he not be personally responsible to pay costs are untenable.

[123] Rule 57.07 and the court's inherent jurisdiction to control its own process are two discrete, albeit sometimes overlapping bases for ordering a lawyer to be personally responsible for paying his or her client's costs.

[124] Rule 57.07 authorizes the court to order a lawyer to personally pay the costs of any party where the lawyer has: caused costs to be incurred without reasonable cause or to be wasted by undue delay, negligence or other default. Rule 57.07 states:

Liability of Lawyer for Costs

57.07 (1) Where a lawyer for a party has caused costs to be incurred without reasonable cause or to be wasted by undue delay, negligence or other default, the court may make an order,

- (a) disallowing costs between the lawyer and client or directing the lawyer to repay to the client money paid on account of costs;

(b) directing the lawyer to reimburse the client for any costs that the client has been ordered to pay to any other party; and

(c) requiring the lawyer personally to pay the costs of any party.

(2) An order under subrule (1) may be made by the court on its own initiative or on the motion of any party to the proceeding, but no such order shall be made unless the lawyer is given a reasonable opportunity to make representations to the court.

(3) The court may direct that notice of an order against a lawyer under subrule (1) be given to the client in the manner specified in the order.

[125] Courts also have an inherent jurisdiction to order a lawyer to pay costs.¹¹ The court's jurisdiction to award costs against lawyers personally comes from its right and duty to supervise the conduct of lawyers that appear before it and sometimes to penalize conduct that frustrates or interferes with the administration of justice.¹² For example, a lawyer may be liable for costs if he or she permits the client to bring forward a case that is genuinely hopeless or that is litigated for an ulterior purpose.¹³

[126] There is a two-step inquiry before awarding costs personally against a lawyer. The first step is to determine whether the lawyer's conduct is within rule 57.07(1), and the second step is to consider, as a matter of discretion to be exercised with extreme caution, whether the imposition of costs is warranted in the circumstances.¹⁴

[127] In determining whether a lawyer's conduct falls within rule 57.07(1), the court must consider specific incidents of conduct and the lawyer's conduct must be considered in the context of the entire course of the litigation.¹⁵ Rule 57.07(1) requires an examination not only of the specific incidents of the lawyer's conduct complained of, but also a review of the entire course of litigation that went on before so that the judge can put in proper context the specific actions and conduct of counsel and can ensure that a holistic examination of the lawyer's conduct produces an accurate, tempered assessment as to whether the lawyer's conduct caused unreasonable costs to be incurred.¹⁶

[128] In my view, reviewing the entire course of the landlord and tenant litigation, both rule 57.07(1) and the court's inherent jurisdiction apply to the circumstances of the immediate case.

¹¹ *Fong v. Chan*, [1997] O.J. No. 949 (C.A.); *Young v. Young* [1993] 4 S.C.R. 3; *Rockwell Developments Ltd. v. Newtonbrook Plaza Ltd.*, [1972] 3 O.R. 199 (C.A.).

¹² *Mitchinson v. Marshall Kirewskie, Barristers and Solicitors*, 2018 ONSC 5632; *Quebec (Director of Criminal and Penal Prosecutions) v. Jodoin*, 2017 SCC 26; *1318847 Ontario Limited v. Laval Tool & Mould Ltd.*, 2017 ONCA 184; *Pacific Mobile Corporation v. Hunter Douglas Canada Ltd.*, [1979] 1 S.C.R. 842.

¹³ *Best v. Ranking*, 2016 ONCA 492; *World Wide Treasure Adventures Inc. v. Trivia Games Inc.* (1987), 16 B.C.L.R. (2d) 135 (S.C.); *Orchard v. South Eastern Electricity Board*, [1987] 1 All E.R. 95 (C.A.); *Wilkinson v. Wilkinson*, [1963] P. 1 (C.A.); *Edwards v. Edwards*, [1958] P. 235; *Cook v. Earl of Rosslyn* (1861), 3 Giff. 175; *Cooke v. Whiting* (1829), 1 Russ. & M. 43.

¹⁴ *SMTCL Canada, Inc. v. Jerry Bas Holdings Limited*, 2015 ONSC 403; *Bailey v. Barbour*, 2014 ONSC 3698; *Catford v. Catford*, 2014 ONSC 133; *V. Vinokur Foundation in Support of Culture and Arts v. Fraev Estate*, 2013 ONSC 7162 (Master); *Galganov v. Russell (Township)*, 2011 ONSC 3065, aff'd 2012 ONCA 410; *Carleton v. Beaverton Hotel* (2009), 96 O.R. (3d) 391 (Div. Ct.). *Rand Estate v. Lenton*, [2007] O.J. No. 831 (S.C.J.), aff'd 2009 ONCA 251.

¹⁵ *Galganov v. Russell (Township)*, 2012 ONCA 410 at paras. 18–21; *Rand Estate v. Lenton*, [2007] O.J. No. 831 (S.C.J.), aff'd 2009 ONCA 251.

¹⁶ *Giglio v. Peters*, 2014 ONSC 2 at para. 16.

[129] I do not see professional negligence, but I do see delays and I do find that costs were incurred or wasted without reasonable cause. Mr. Juzkiw should have known that Mr. Wu's instructions that the Defendants were tenants was a sham. Mr. Juzkiw should have known that Mr. Wu's ulterior purpose was gaming the administration of justice. It is not without moment that in August 2023, Mr. Juzkiw got schooled in the receivership application by Justice Osborne about how Mr. Wu's conduct was an abuse of process and, nevertheless, Mr. Juzkiw continued to utilize the same tactics in the landlord and tenant litigation.

[130] Mr. Juzkiw relied on *Rand Estate v. Lenton*,¹⁷ to frame his submissions. In that case, Justice McGarry found the following conduct by a lawyer to be falling within the ambit of rule 57.07: (a) being responsible for inordinate and unnecessary delays; (b) bringing numerous and unnecessary motions; (c) being inadequately prepared; (c) failing to appear; (d) presenting arguments that had no merit; and (e) disregarding several court orders. Mr. Juzkiw denied doing any of these things.

[131] I agree with Mr. Juzkiw that he did not bring numerous motions and he did not fail to appear, but I can check off: (a) being responsible for inordinate and unnecessary delays; (c) being inadequately prepared; and (d) presenting arguments that had no merit. I can also check off that Mr. Juzkiw allowed his client to lie to the court and to game the administration of justice and that Mr. Juzkiw, to this day, has not explained why he does not know who is the chameleon Jane Doe, when he had professional obligations to know who his clients are. Mr. Juzkiw simply accepted Mr. Wu's instructions to bring Jane Doe into the landlord and tenant litigation.

[132] In *Best v. Ranking*,¹⁸ a decision upheld by the Court Appeal, on a motion to have a lawyer personally pay costs, Justice Healey wrote at paragraph 38 of her decision:

38. The *Rules of Professional Conduct*, rule 5.1-1, requires a lawyer to represent his or her clients resolutely and honourably. A lawyer has a duty in adversarial proceedings to raise fearlessly every issue, advance every argument, and ask every question however distasteful that the lawyer thinks will help the client's case and obtain a remedy by law. However, reasonable limits are placed on a lawyer's legal and ethical obligations to act as a zealous advocate for his or her clients. These limits were described by Alice Wooley [Now Justice Wooley] in "Rhetoric and Realities: What Independence of the Bar Requires of Lawyer Regulation" (2012) 45 UBC Law Rev. 145, at pp. 158-159, as follows:

This justification for the lawyer as a zealous advocate itself dictates the limits on that advocacy. The lawyer's role is not to obtain for the client whatever the client wants. The lawyer is not a gunman for hire. Rather, the lawyer helps the client pursue her conception of the good *within the bounds of the law*. The lawyer must be able to engage in good-faith interpretation of the law, to determine the difference between what the law provides and what the law can simply be made to give. [Footnote omitted.] The lawyer cannot be a morally blinkered technocrat, ignoring the meaning of the law, interpreted reasonably and in good faith. A lawyer may not engage in quasi-legal subterfuge. While the law can be subject to varying interpretations and does not always dictate a single response or answer, it also has a core meaning -- interpretations that it does not permit and that cannot be reasonably sustained. As suggested by Marty Lederman in discussing HLA Hart's example of the meaning of a statute forbidding vehicles in the park, we may not know prior to adjudication of the matter whether vehicles include a stroller or an ambulance, but we certainly know that the statute prohibits driving a souped-up Corvette through the park.

¹⁷ [2007] O.J. No. 831, aff'd. 2009 ONCA 251.

¹⁸ 2015 ONSC 6279, aff'd 2016 ONCA 492.

[Footnote omitted]. Lawyers have an obligation to restrict their advocacy for clients to these legal boundaries.

[133] Mr. Juzkiw was duped by Mr. Wu. Mr. Juzkiw was loyal to his client beyond the fault line where he should have parted company with his client, a client who was abusing the administration of justice.

[134] In my opinion, a punitive costs award is merited in the immediate case. If Mr. Wu does not pay the costs, then Mr. Juzkiw is personally liable to pay those costs.

[135] Order accordingly.

Perell, J.

Released: February 16, 2024

CITATION: Ly Innovative Group Inc. v. Facilitate Settlement Corporation, 2024 ONSC 1033
COURT FILE NO.: CV-22-00675882-0000
DATE: 20240216

**ONTARIO
SUPERIOR COURT OF JUSTICE**

BETWEEN:

**LY INNOVATIVE GROUP INC. and MEIZHANG
ZHOU**
Plaintiffs

- and -

**FACILITATE SETTLEMENT CORPORATION,
KAI WU and JANE DOE**
Defendants

REASONS FOR DECISION – COSTS

PERELL J.

Released: February 16, 2024